

ON APRIL 1, 2019, when Mohit Malhotra got the corner office at Dabur India's headquarters in Ghaziabad, Uttar Pradesh, the company's top line had been flat for three years, and the new CEO would soon have to sign off on lacklustre numbers for the year that just closed. Malhotra, a Dabur insider brought in from the international business in 2018 to head the India business and then given the helm, got growth going again. Sales rose by 10 per cent in his first year, and the Covid-19 pandemic that hit an unsuspecting world in 2020 powered the growth of anything that claimed to boost immunity. Dabur grew in FY21 and FY22.

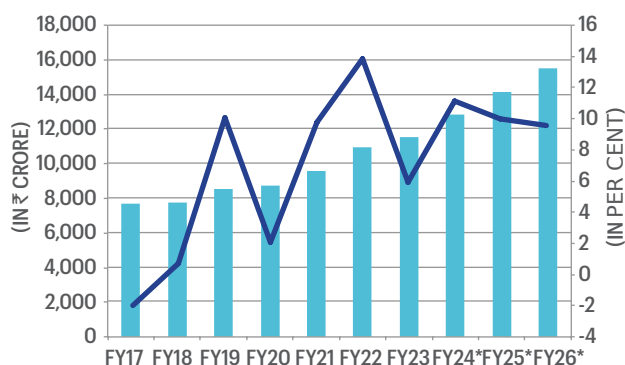
But Dabur's revenue growth has been inconsistent over the past decade. And Malhotra and Dabur's pro-

motors, the Burmans, are banking on a strategy to ensure sustainable growth. No ups and downs, please.

Look at the ride. Since FY14, Dabur, whose roots are in the 19th century, has grown its top line at a CAGR of 5.5 per cent—from ₹7,094 crore in FY14 to ₹11,530 crore in FY23. Its peers, such as Britannia Industries and Nestlé India, performed significantly better during this period. Britannia grew its sales at a CAGR of 11.3 per cent, from ₹6,232 crore in FY14 to ₹16,300 crore in FY23. Nestlé India, despite the life-threatening crisis at its flagship Maggi noodles in 2015, showed a 7 per cent CAGR in top line growth to ₹16,897 crore in calendar year 2022. The company follows a January-December financial year. Diversified fast-moving consumer goods (FMCG) players such as ITC and Hindustan Unilever Ltd (HUL) scored big on growth. And peer Marico saw top-line growth of 8.5 per cent—from ₹4,687 crore in FY14 to ₹9,764 in FY23.

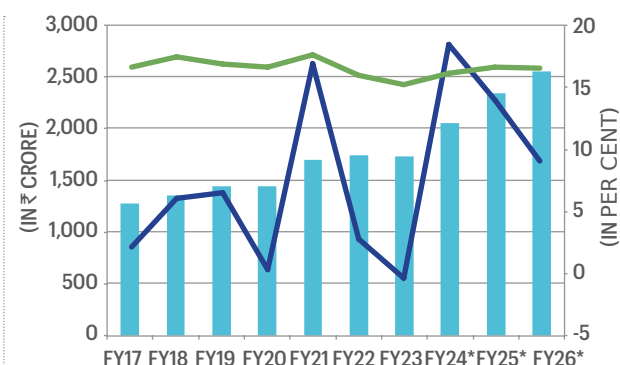
POSITIVE SIGNS

▶ Since FY19, Dabur's top-line growth has improved in spite of Covid-19-related disruptions ▶ Margins were under pressure due to steep inflation, but signs of improvement are visible in the December quarter



■ OPERATING REVENUE (LHS) — YOY GROWTH (RHS)

*ESTIMATES SOURCE COMPANY & HDFC SECURITIES



■ ADJUSTED PAT (LHS) ■ YOY GROWTH (RHS)

■ PAT MARGIN (RHS); *ESTIMATES

HIGH POTENTIAL

▶ According to market experts, Dabur's stock remains significantly undervalued, leaving ample headroom for growth

▶ Steady gains in market share across key categories since FY19 are expected to boost its market cap in the coming years

■ ITC ■ NESTLÉ INDIA
■ BRITANNIA INDUSTRIES
■ DABUR INDIA ■ MARICO

SOURCE ACE EQUITY

